UNIT - V : HUMAN RESOURCE MANAGEMENT AND VALUE

I. Concept of Human Resource Management (HRM)

* HRM = the management function concerned with PLANNING, ACQUIRING (recruiting, selecting), DEVELOPING, MOTIVATING, COMPENSATING, MAINTAINING and integrating the human resources of an organisation so that individual, organisational and social objectives are achieved. People are treated as a valuable ASSET (human capital), not just a cost.
* Features: pervasive, people oriented, continuous, developmental, strategic, a staff (advisory) function, based on human values, integrates employee and organisation goals.

Personnel management vs HRM

Personnel management	Human resource management
Traditional, administrative, routine	Modern, strategic, proactive
Employees are a cost / a tool	Employees are an asset / resource
Focus on rules, procedures, records	Focus on development, commitment, culture
Short term, reactive	Long term, planned
Personnel dept. alone responsible	Responsibility of all line managers also
Maintaining and welfare of staff	Growth, empowerment of staff

Industrial relations (IR)

* Relationship between EMPLOYERS (management), EMPLOYEES (workers) and their TRADE UNIONS, and the government, in the industrial setting. Aims: harmonious relations, industrial peace, higher productivity. Components: collective bargaining, trade unions, joint

consultation, grievance handling, discipline, workers' participation in management, dispute settlement.

* Industrial disputes: strikes, lock-outs, gherao, go-slow. Machinery: Works committee, conciliation officer, board of conciliation, court of inquiry, labour court, tribunal, arbitration. Laws: Industrial Disputes Act 1947, Trade Unions Act 1926, Factories Act 1948, Minimum Wages Act 1948, Payment of Wages, Bonus, Gratuity, ESI and Provident Fund Acts (now being merged into labour codes).

2. Functions of Personnel Management

Type	Function	Activities
MANAGERIAL	Planning	Manpower planning, policies, budgets, forecasting
	Organising	Structure, job design, authority relations
	Directing	Motivation, leadership, communication
	Controlling	Audits, performance review, cost control
OPERATIVE	Procurement	Job analysis, human resource planning, recruitment, selection, placement, induction
	Development	Training, career planning, management development
	Compensation	Job evaluation, wages and salary, incentives, benefits
	Integration	Motivation, grievance handling, industrial relations, union dealing
	Maintenance	Health, safety, welfare, social security
	Separation	Retirement, resignation, retrenchment, VRS

* JOB ANALYSIS gives JOB DESCRIPTION (duties, responsibilities, working conditions) and JOB SPECIFICATION (qualifications, skills, experience needed by the worker). Recruitment = searching for candidates (internal / external); selection = choosing the best (tests, interviews).

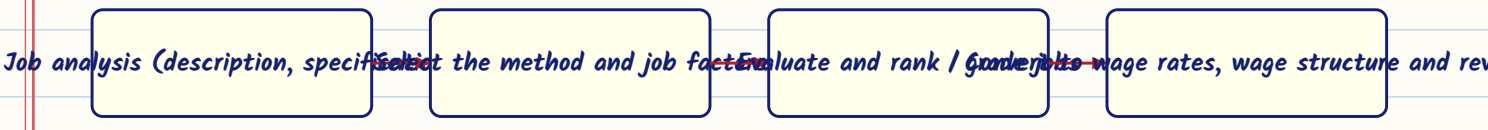
3. Job Evaluation

* JOB EVALUATION = systematic process of determining the RELATIVE WORTH (value) of jobs in an organisation, in order to establish a fair and equitable WAGE and SALARY structure. It rates the JOB (its duties, skill, responsibility, effort, working conditions), NOT the person who does it.

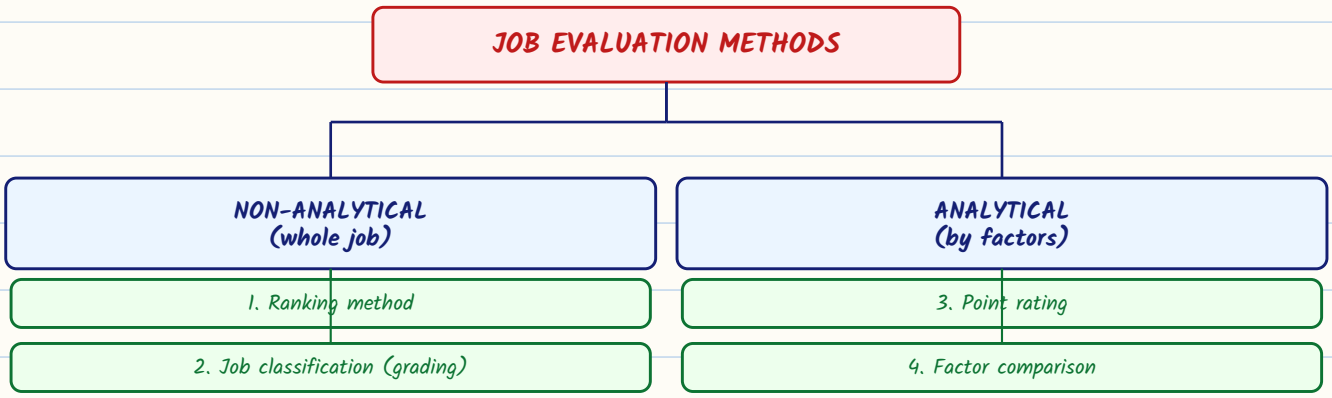
Importance / objectives

* Basis of fair and logical wage differentials; removes pay inequity and grievances; helps in recruitment (fixing starting pay), promotion, transfers; establishes a hierarchy of jobs; assists in wage negotiations and in comparing wages with other firms; clarifies job duties and organisation structure; reduces labour unrest.

Procedure



Types (methods) of job evaluation



Method	Procedure	Merits / Demerits
1. RANKING	Jobs are arranged in order of importance (highest to lowest) by comparing each job with others, using a committee; rank -> pay	Simple, quick, cheap; subjective, only for small firms; no measure of the gap between jobs
2. JOB CLASSIFICATION (grading)	Predetermined grades / classes with descriptions (Grade I - unskilled ... Grade V - skilled supervisor); each job is slotted into a grade	Simple, used in government; difficult to write class descriptions, rigid
3. POINT RATING (point system)	Select job FACTORS (skill, effort, responsibility, working conditions), divide into degrees, give POINTS, add points for each job; convert total points to money	Most widely used, systematic, reliable; costly and time consuming, factor selection is tricky
4. FACTOR COMPARISON	Key (benchmark) jobs are ranked factor by factor and their wages are split among the factors; other jobs are compared and slotted money-wise	Direct money values, objective; complex, key job wages may be wrong

Point rating example: Factors and maximum points - Skill 40, Effort 20, Responsibility 25, Job conditions 15 = 100. A job scoring 30 + 12 + 20 + 8 = 70 points; if one point = Rs 200 -> basic pay Rs 14,000.

4. Merit Rating (Performance Appraisal)

* MERIT RATING = systematic evaluation of the PERSONAL QUALITIES

and PERFORMANCE of an EMPLOYEE (not the job) by superiors, against defined standards, usually once or twice a year. Job evaluation rates the job; merit rating rates the man doing it.

* Objectives: basis for increments, bonus, promotion, transfer; identifies training needs; improves performance by feedback; helps in selection validation; motivates employees; improves supervisor - subordinate relations.

Job evaluation	Merit rating
Rates the JOB	Rates the EMPLOYEE (performance)
Fixes basic wage / grade of the job	Decides increments, bonus, promotion
Done when job is created or changed	Done periodically (yearly)
Based on job factors (skill, effort ...)	Based on traits (quality, initiative, reliability, attendance)

Quantitative / rating methods of merit rating

* 1. RANKING method: employees are arranged from best to worst. 2. PAIRED COMPARISON: each employee compared with every other, one pair at a time; number of comparisons = n(n - 1)/2. 3. GRAPHIC RATING SCALE: traits (quality of work, quantity, dependability, initiative, cooperation, attendance) rated on a scale (e.g. 1 - 5 or poor to excellent); scores added - the most common. 4. FORCED CHOICE (distribution): rater picks from statements describing the employee; forced distribution (bell curve: 10% outstanding, 20% good, 40% average ...). 5. CHECKLIST: yes / no questions with weights. 6. CRITICAL INCIDENT: record of exceptionally good or bad incidents.
* 7. FIELD REVIEW, essay (descriptive) appraisal, MBO (management by objectives - achievement vs goals), 360 degree feedback (superiors, peers, subordinates, customers), BARS (behaviourally anchored rating

scale), assessment centres.

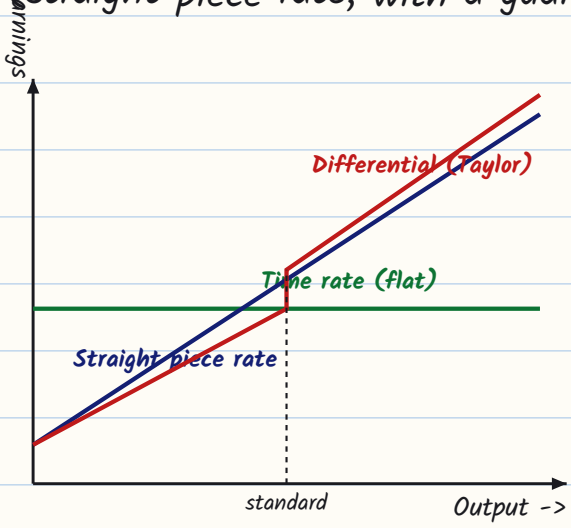
* Errors: halo effect, central tendency, leniency / strictness, personal bias, recency effect, spill-over of past performance.

5. Wage Incentive Plans

* WAGE = payment for labour. Wage incentive = extra payment linked to output / performance above a standard to MOTIVATE workers to higher productivity. Characteristics of a good plan: simple, fair, easy to understand, accurate standards (time study), guaranteed minimum wage, attainable, benefits both employer and employee, quick payment, no cost increase beyond productivity gain.

Basic wage systems

* TIME RATE: pay = hours worked x rate per hour (wages paid irrespective of output; simple but no incentive; used where output is not measurable). PIECE RATE: pay = number of pieces x rate per piece (straight piece rate, with a guaranteed minimum).



Types of incentive plans

Plan	Description	Formula / example
TAYLOR'S differential piece rate	Two piece rates: HIGH rate (e.g. 120%) for output at or above standard, LOW rate (e.g. 80%) below standard; penalises slow workers	Std 100 pcs at Rs 10: 110 pcs earn 110 x 12 = 1320; 90 pcs earn 90 x 8 = 720
MERRICK multiple piece rate	Three rates: up to 83% of standard - ordinary rate; 83 - 100% - 110% of rate; above 100% - 120%	Milder than Taylor's
HALSEY premium plan (50 : 50)	Time saved is shared: worker gets a fixed % (usually 50%) of the time saved at hourly rate	W = T x R + p (S - T) R
ROWAN plan	Bonus = time saved / time allowed of the time taken; bonus rises at decreasing rate (cannot exceed the wage)	W = T x R + [(S - T)/S] T R
GANTT task and bonus	Day rate guaranteed; if task completed in std time, bonus 20% of wage; at or above standard worker earns 120% of piece rate	Efficiency based
EMERSON efficiency	Bonus starts at 67% efficiency, rising to 20% at 100% efficiency and 1% for each further 1%	Efficiency %
BEDAUX point plan	Work measured in B (point) units - 1 B = 1 minute of work + rest; premium bonus on excess B per hour	Standard 60 B per hour
Group incentives / profit sharing / bonus	Group earns extra for team output; Scanlon plan (cost saving share), Rucker plan, profit sharing, co-partnership, ESOP	Encourages team work

T = time taken, S = time allowed (standard), R = hourly wage rate, p = share of time saved.

Eg: S = 10 h, T = 8 h, R = Rs 50. Halsey (50%): W = 8 x 50 + 0.5 (2) 50 = 400 + 50 = Rs 450. Rowan: W = 400 + (2/10) x 8 x 50 = 400 + 80 = Rs 480. Time wage = Rs 400 (guaranteed, since T x R).

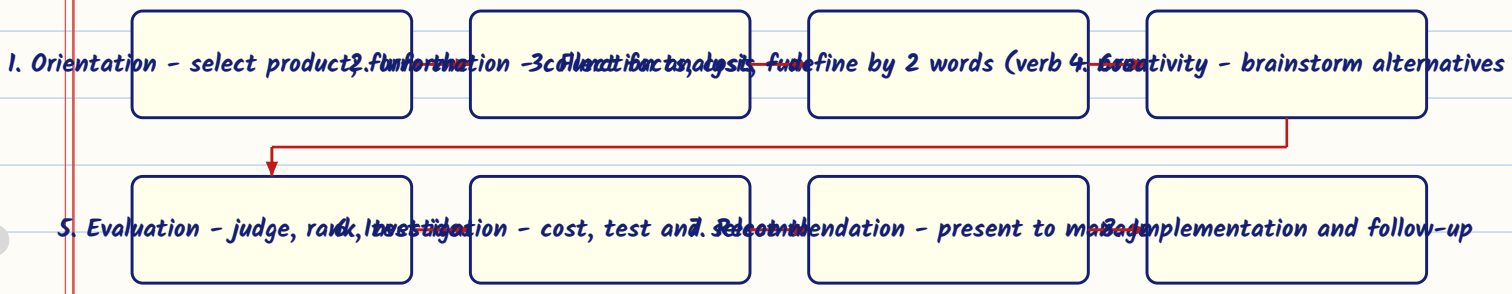
6. Value Analysis and Value Engineering

* VALUE = FUNCTION / COST (worth of the function to the customer divided by cost to provide it). Value increases when function improves at same cost, or same function at lower cost. Developed by LAWRENCE D. MILES at General Electric (USA) in 1947 - 49 as 'Value Analysis' when materials were scarce.
* VALUE ANALYSIS (VA) = organised, creative approach for identifying UNNECESSARY COST in an EXISTING product / process and removing it without reducing quality, performance, reliability or appearance. VALUE ENGINEERING (VE) = same techniques applied at the DESIGN stage of a NEW product (prevention rather than cure).

Types of value

* USE value (utility / performance), ESTEEM (prestige) value (attractiveness), COST value (sum of labour, material, overhead), EXCHANGE value (market price). Functions: PRIMARY (basic - why the product exists) and SECONDARY (supporting). Eg: a pen - basic function: make marks; secondary: appearance, clip.

Implementation procedure - job plan

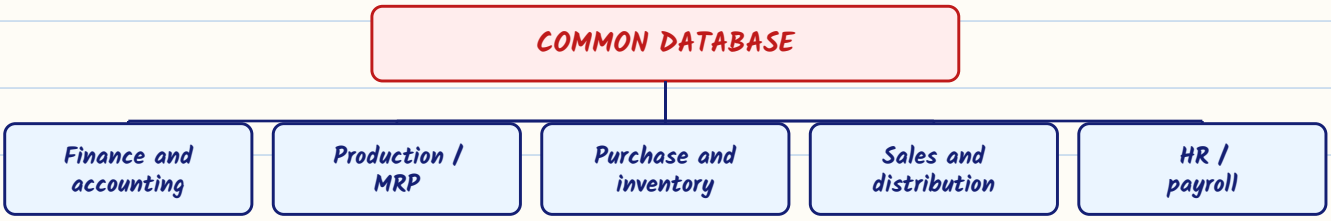


* Questions of VA (Miles): What is it? What does it do? What does it cost? What else will do the job? What does that cost? Targets of VA: high cost, large volume, many parts, complex, old design. Techniques: ABC analysis, FAST (Function Analysis System Technique) diagrams, Pareto, DARSIRI method, brainstorming, Delphi, make-or-buy, standardisation, cost benefit analysis, value index.
* Benefits: reduces cost (10 - 30% typical), improves quality and performance, removes unnecessary features, uses new materials and processes, better customer value, teamwork. Eg: replacing a machined bracket by a stamped one, or brass by plastic bush giving the same function at lower cost.

7. Enterprise Resource Planning (ERP)

* ERP = an integrated, computer based software system that manages and links ALL major business functions - finance, accounting,

production, inventory, purchase, sales, HR, CRM - through a single database and common platform, so that information flows in real time across the whole enterprise. Evolved from MRP (Material Requirement Planning) -> MRP II (Manufacturing Resource Planning) -> ERP (1990s). Vendors: SAP, Oracle, Microsoft Dynamics, Infor, Tally.

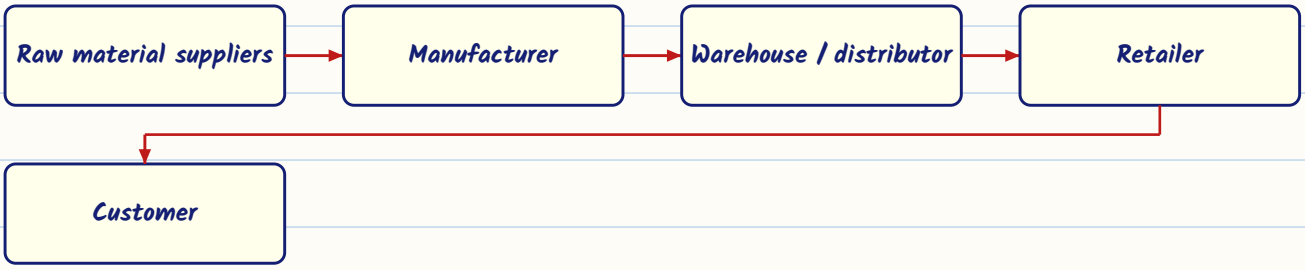


* Features: integration, single database, real time data, modular (plug in), automation of processes, standard best-practice workflow, customisable, access control, reporting and analytics.
* Benefits: better information and decisions, lower inventory and cost, shorter cycle time, improved customer service, avoids duplicate data, productivity, transparency, regulatory compliance. Limitations: very high cost, long implementation, resistance to change, training need, customisation and data migration problems, vendor dependence. Implementation phases: planning and vendor selection, business process re-engineering (BPR), configuration, data migration, testing, training, go-live, support.

8. Supply Chain Management (SCM)

* SUPPLY CHAIN = network of organisations, people, activities, information and resources involved in moving a product from

SUPPLIERS to CUSTOMERS: suppliers -> manufacturer -> distributors / wholesalers -> retailers -> customers, with flows of material, information and money (the reverse flow = returns / reverse logistics).



* SCM = planning, coordinating and controlling the whole network of suppliers, plants, warehouses and customers to deliver the right product, in the right quantity, at the right place and time, at least total cost, with high customer satisfaction.
* Components: PLAN (demand forecasting, production and inventory plan), SOURCE (supplier selection, procurement, e-procurement), MAKE (manufacturing, quality), DELIVER (logistics, warehousing, transportation, order management), RETURN (reverse logistics) - the SCOR model. Drivers: facilities, inventory, transportation, information, sourcing, pricing.
* Key concepts: BULLWHIP EFFECT (small changes in consumer demand amplify as one moves upstream), just-in-time (JIT), vendor managed inventory, outsourcing, third party logistics (3PL), strategic supplier partnership, postponement, cross docking, RFID and IoT tracking, e-commerce, blockchain, green supply chain, agile / lean supply chain.
* Benefits: reduced inventory and logistics cost, better customer service, shorter lead time, fewer stock-outs, improved supplier relations, higher profit and competitive advantage. Challenges: demand uncertainty, lack of trust and information sharing, global risks, IT integration cost.

Revision: HRM = strategic people management; job evaluation rates JOB (ranking, classification, point rating, factor comparison); merit rating rates MAN; Halsey, Rowan, Taylor plans; VA/VE: value = function / cost; ERP = integrated software; SCM = supplier to customer flow.